

**Notes: Liu, Shu & Wei (JFE, 2017)**  
**The Impacts of Political Uncertainty on Asset Prices: Evidence from the Bo  
Scandal in China**

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# 1 Big picture

- **Question.** How does a sudden increase in political uncertainty affect stock prices, volatility, and expected cash flows? Which firms are most exposed to this political risk?
- **Natural experiment.** The paper studies the March 2012 Bo Xilai scandal in China, an unexpected political shock that raised uncertainty about the future policy direction and leadership stability of the Communist Party.
- **Main identification idea.** If the scandal primarily increased priced political risk, firms that are more sensitive to government policy should experience larger stock price declines and larger increases in volatility.
- **Policy sensitivity measures.** The paper uses three proxies: (i) industry sensitivity to past monetary policy announcements; (ii) provincial fixed-investment dependence on state-owned entities; and (iii) firm-level political connections through board members.
- **Main return result.** More policy-sensitive firms experience significantly more negative cumulative abnormal returns over the three-day event window around the Bo scandal.
- **Cash-flow result.** Analyst forecast revisions and realized accounting performance generally do not decline more for the more politically sensitive firms; in some tests they decline less. This weakens a cash-flow-news explanation.
- **Volatility result.** Policy-sensitive firms experience larger increases in return volatility after the scandal, consistent with an increase in uncertainty or discount-rate risk.
- **Bo-connected robustness.** Controlling for firms directly connected to Bo Xilai does not remove the policy-sensitivity effects, so the result is broader than the loss of direct political connections.
- **Economic takeaway.** Political uncertainty is priced in equity markets, and the pricing impact is strongest for firms whose cash flows or discount rates depend more on government policy.

# 2 Incremental contribution of the paper

- **Clean political-uncertainty event.** Earlier political-risk research often relies on elections, coups, or policy announcements that may be anticipated or directly tied to policy outcomes. The Bo scandal is an unexpected political-stability shock that is not itself a conventional policy change.
- **Firm-level exposure to political uncertainty.** The paper moves beyond market-level political uncertainty and constructs cross-sectional exposure measures that identify which firms should be more sensitive to the shock.
- **Multiple exposure dimensions.** The study uses three separate proxies—monetary-policy exposure, fiscal/state-investment exposure, and political connections—then combines them into an all-three measure. This reduces reliance on one narrow definition of political sensitivity.
- **Separating discount-rate news from cash-flow news.** The paper tests whether price declines are accompanied by worse analyst earnings forecasts or worse realized accounting outcomes. The absence of stronger cash-flow deterioration among sensitive firms supports a priced-risk interpretation.
- **Volatility as corroborating evidence.** The volatility tests show that the same policy-sensitivity proxies also predict increases in post-event uncertainty.
- **China-specific institutional contribution.** The paper shows how political transitions in a one-party state can generate asset-pricing effects even when there is no competitive election.
- **Bo-connectedness robustness.** By separately identifying firms tied to Bo Xilai and controlling for them, the paper distinguishes broad policy uncertainty from narrow relationship-loss effects.
- **Contribution to political-risk asset pricing.** The paper provides rare firm-level evidence that political uncertainty affects discount rates and expected returns, not just contemporaneous cash-flow expectations.

### 3 Data and measurement

#### 3.1 Sample and event window

- The sample includes nonfinancial firms listed for at least one year and publicly traded in the Chinese A-share market as of the end of 2011.
- The main event date is March 14, 2012, when the Bo scandal became a major political event after the removal of Bo Xilai from his Chongqing post.
- The main event window is three trading days, from one day before to one day after the scandal event.
- Abnormal returns are calculated using both a market model and a market-adjusted return model.

**Interpretation:** The event window is intentionally narrow to isolate the scandal shock from ordinary political and macroeconomic news. The market model estimation period ends before the earlier Wang Lijun incident to avoid contamination.

#### 3.2 Attention and uncertainty proxies

- Figure 1 uses Google and Baidu searches for Wang Lijun and Bo Xilai to show when public attention to the scandal spikes.
- Figure 2 uses Baidu search intensity and media coverage for the word “revolution” in Chinese to document broader public concern.
- These figures do not identify returns directly; they validate that the event was a salient political uncertainty shock.

**Interpretation:** The attention measures are evidence that the political event mattered to investors and the public. They help justify treating the scandal as a meaningful shock rather than a small political rumor.

#### 3.3 Policy sensitivity proxies

- **Policy announcement.** Industry sensitivity to changes in the reserve requirement ratio from 2007 to 2011.
- **Fixed investment.** Province-level dependence on fixed investment funded by government or state-owned entities.
- **Political connection.** A firm-level measure based on the political background of board directors.
- **All three.** A standardized composite measure combining all three dimensions of policy sensitivity.

**Interpretation:** These measures capture different channels: monetary policy, fiscal/state investment, and direct political connections. The all-three index is useful because political sensitivity is multidimensional.

#### 3.4 Outcome variables

- **CAR1.** Three-day cumulative abnormal return from a market model estimated before the scandal.
- **CAR2.** Three-day cumulative market-adjusted return.
- **Delta Vol.** Change in one-month stock return volatility after the scandal relative to the same calendar window in prior years.

- **Forecast EPS changes.** Analyst forecast revisions for 2012, 2013, and 2014 earnings.
- **Realized cash-flow changes.** Changes in ROA, operating profit over assets, and sales over assets from 2011 to 2012.

**Interpretation:** The outcomes are designed to test three mechanisms: price impact, expected or realized cash-flow news, and uncertainty/discount-rate effects.

## 4 Models and empirical specifications

### 4.1 Market-model abnormal returns

For each firm, the paper estimates

$$Ret_{i,t} = \alpha_i + \beta_i R_{M,t} + \varepsilon_{i,t}$$

over the pre-event estimation period. The event-window abnormal return is

$$AR_{i,\tau} = Ret_{i,\tau} - (\hat{\alpha}_i + \hat{\beta}_i R_{M,\tau}),$$

and

$$CAR1_i = \sum_{\tau=-1}^1 AR_{i,\tau}.$$

**Interpretation:** CAR1 removes systematic market exposure and measures firm-specific price impact around the political shock.

### 4.2 Univariate sorting tests

Firms are sorted into three groups by each policy sensitivity proxy:

$$Group1 = \text{least sensitive}, \quad Group3 = \text{most sensitive}.$$

The central univariate comparison is

$$Difference = Outcome(Group3) - Outcome(Group1).$$

**Interpretation:** A more negative CAR difference for Group 3 versus Group 1 indicates that politically sensitive firms lose more value during the scandal.

### 4.3 Baseline return regressions

$$CAR_i = \alpha + \gamma Sensitivity_i + \delta' Controls_i + \varepsilon_i.$$

Controls include size, book-to-market, leverage, recent returns, idiosyncratic volatility, and other risk variables. Standard errors are clustered by industry and province.

**Interpretation:** The coefficient  $\gamma$  tests whether policy sensitivity predicts returns after controlling for standard stock characteristics.

### 4.4 Cash-flow regressions

$$\Delta EPSForecast_{i,y} = \alpha + \gamma Sensitivity_i + \delta' Controls_i + \varepsilon_i,$$

$$\Delta AccountingPerformance_i = \alpha + \gamma Sensitivity_i + \delta' Controls_i + \varepsilon_i.$$

**Interpretation:** These regressions test whether politically sensitive firms had worse expected or realized cash flows. The evidence generally rejects this explanation.

## 4.5 Volatility regressions

$$\Delta Vol_i = \alpha + \gamma Sensitivity_i + \delta' Controls_i + \varepsilon_i.$$

**Interpretation:** A positive  $\gamma$  means political sensitivity predicts a larger increase in uncertainty after the scandal.

## 4.6 Bo-connectedness robustness

$$Outcome_i = \alpha + \gamma Sensitivity_i + \lambda BoConnected_i + \delta' Controls_i + \varepsilon_i.$$

**Interpretation:** This separates broad political uncertainty from direct loss of personal ties to Bo Xilai.

# 5 Identification and empirical design

## 5.1 Why the Bo scandal is useful

- The scandal was unexpected and politically salient.
- The event was not a standard economic policy announcement.
- The shock occurred at a clearly defined time, allowing narrow-window event-study tests.
- Cross-sectional heterogeneity in policy sensitivity allows the paper to compare treated and less-treated firms at the same time.

**Interpretation:** This is a cross-sectional event-study design. Identification comes from comparing more and less policy-sensitive firms around a common shock.

## 5.2 Key identifying assumption

The core assumption is that, absent the Bo scandal, more policy-sensitive firms would not have experienced systematically more negative returns, larger volatility increases, or different cash-flow revisions during the same three-day window.

**Interpretation:** The narrow event window and extensive controls make this assumption more plausible, but it is still not a randomized experiment.

## 5.3 Why cash-flow tests matter

- Price declines could arise because investors expect lower future cash flows.
- If so, analysts should revise earnings forecasts downward more for policy-sensitive firms.
- Realized accounting performance in 2012 should also decline more for sensitive firms.
- The paper finds little evidence for this, supporting a discount-rate or risk-premium mechanism.

**Interpretation:** The cash-flow tests are the main device for distinguishing priced political risk from fundamentals news.

## 5.4 Limitations

- Policy sensitivity proxies may measure imperfect exposure.
- Some confounding news could occur around the event window.
- Analyst forecasts may not immediately or fully capture expected cash-flow effects.
- Volatility increases can reflect both uncertainty and market microstructure/liquidity effects.
- The setting is China-specific and tied to a major elite political scandal.

**Interpretation:** The paper’s evidence is strongest as a coherent pattern across returns, cash-flow tests, and volatility, rather than as a single causal coefficient.

## 6 Section-by-section study guide

- **Introduction.** Establishes political uncertainty as a priced risk and introduces the Bo scandal as an unexpected event.
- **Institutional background.** Describes the Wang Lijun incident, the Bo Xilai scandal, and public attention spikes.
- **Hypothesis development.** Defines the discount-rate/risk-premium hypothesis, cash-flow hypothesis, and volatility hypothesis.
- **Policy-sensitivity construction.** Builds industry, province, and firm-level measures of policy exposure.
- **Return tests.** Uses univariate sorts and regressions to show that sensitive firms fall more.
- **Cash-flow tests.** Uses analyst forecasts and realized accounting outcomes to test whether fundamentals deteriorate more.
- **Volatility tests.** Tests whether uncertainty rises more for policy-sensitive firms.
- **Bo-connectedness tests.** Shows that the findings are not driven only by firms directly connected to Bo.

## 7 Tables and figures

The compact layout below places closely related figures and tables on the same row whenever readability allows.

### 7.1 Figures 1–2: Public attention to the scandal

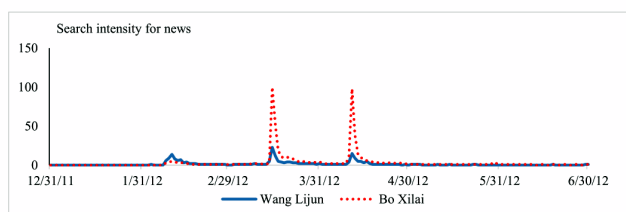
Read:

- Figure 1 plots Google and Baidu searches for Wang Lijun and Bo Xilai from January to June 2012.
- Search intensity spikes around the Wang incident, the Bo removal event, and later official developments.
- Figure 2 shows a spike in Baidu searches and media coverage for “revolution,” indicating broader political anxiety.

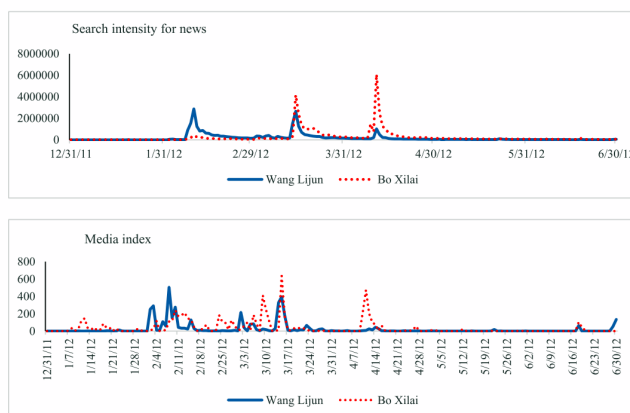
**Detailed interpretation:** The figures are not return tests; they establish event salience. The Bo scandal mattered because it generated sudden, visible concern about elite politics and policy direction. This supports using the March 14 event as a political uncertainty shock.

**Economic message:** The political event was large enough to draw public attention, making it plausible that investors would update discount rates and risk premia.

Panel A. Search intensity for news on “Lijun Wang” and “Xilai Bo” in Chinese on Google

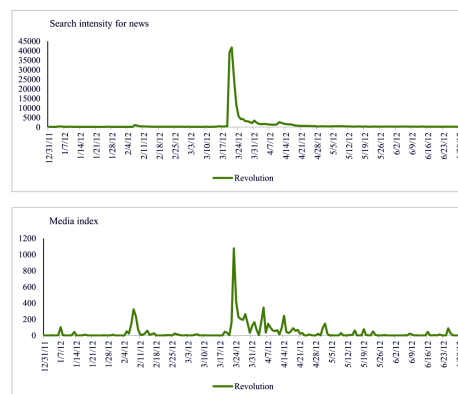


Panel B. Search intensity for news and media coverage on “Lijun Wang” and “Xilai Bo” in Chinese on Baidu



Search intensity on Google and Baidu. Panel A presents search intensity for news on “Lijun Wang” and “Xilai Bo” in Chinese on Google orig

(a) Figure 1: Search intensity on Google and Baidu.



Search results for “revolution” in Chinese. This figure shows search intensity for news and media coverage on “revolution” i

(b) Figure 2: Baidu search results for “revolution.”

### 7.2 Tables 1–2: Summary statistics and policy sensitivity measures

Read:



- Table 1 reports the main variables used in the paper, including policy-sensitivity proxies, event returns, volatility changes, analyst forecasts, and accounting outcomes.
- Mean CAR1 is negative, indicating a broad market reaction around the scandal.
- Table 2 ranks industries by monetary-policy sensitivity and provinces by state-investment dependence.
- The ranking tables make the cross-sectional exposure measures transparent.

**Detailed interpretation:** Table 1 shows that the average firm experienced negative abnormal returns and a positive change in volatility. Table 2 explains where the exposure variables come from: some industries historically react more to reserve-requirement changes, and some provinces depend more on government-directed fixed investment.

**Economic message:** Before testing the scandal response, the paper establishes measurable heterogeneity in political exposure across firms.

**Table 1**  
Summary statistics.

This table provides summary statistics for the variables used in the paper. Financial information on firms is obtained from the China Stock Market and Accounting Research Database (CSMAR) maintained by CTA Information Technology. Our initial sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. All variables are defined in [Appendix C](#).

| Variable                                | Mean   | S.D.   | p25    | p50    | p75    |
|-----------------------------------------|--------|--------|--------|--------|--------|
| Policy announcement                     | 0.431  | 0.282  | 0.193  | 0.390  | 0.657  |
| Fixed investment                        | 0.280  | 0.089  | 0.230  | 0.257  | 0.363  |
| Political connection                    | 0.654  | 0.601  | 0.000  | 0.693  | 1.099  |
| All three                               | 0.000  | 1.773  | -1.302 | -0.085 | 1.170  |
| CRR (%)                                 | -5.027 | 4.819  | -8.163 | -5.822 | -2.949 |
| CAR1 (%)                                | -0.938 | 4.680  | -3.831 | -1.762 | 0.859  |
| CAR2 (%)                                | -1.750 | 4.847  | -4.898 | -2.550 | 0.294  |
| $\Delta \text{Vol}$ (%)                 | 0.280  | 0.818  | -0.102 | 0.263  | 0.686  |
| $\Delta \text{Forecast EPS}_{2012}$ (%) | -0.812 | 1.223  | -1.246 | -0.360 | 0.090  |
| $\Delta \text{Forecast EPS}_{2013}$ (%) | -1.011 | 1.492  | -1.566 | -0.508 | 0.000  |
| $\Delta \text{Forecast EPS}_{2014}$ (%) | -0.627 | 1.312  | -1.145 | 0.000  | 0.000  |
| SD_EPS_2012                             | 0.168  | 0.153  | 0.068  | 0.125  | 0.210  |
| SD_EPS_2013                             | 0.230  | 0.194  | 0.105  | 0.172  | 0.290  |
| SD_EPS_2014                             | 0.306  | 0.292  | 0.113  | 0.207  | 0.390  |
| ROA (2012)                              | 3.408  | 5.401  | 1.092  | 3.152  | 6.001  |
| ROA (2011)                              | 4.642  | 5.467  | 1.961  | 4.189  | 6.965  |
| ΔROA (%)                                | -1.174 | 5.030  | -2.582 | -0.664 | 0.412  |
| Operating profit/Total assets (2012)    | 3.567  | 6.196  | 0.742  | 3.260  | 6.522  |
| Operating profit/Total assets (2011)    | 4.914  | 6.254  | 1.716  | 4.497  | 7.684  |
| ΔOPOA (%)                               | -1.347 | 4.937  | -3.050 | -0.882 | 0.471  |
| Sales/Total assets (2012)               | 66.402 | 49.448 | 33.969 | 54.393 | 83.046 |
| Sales/Total assets (2011)               | 69.581 | 51.326 | 35.577 | 57.690 | 87.615 |
| ΔSOA (%)                                | -3.179 | 16.653 | -9.280 | -1.792 | 4.694  |
| lnSZ                                    | 22.251 | 0.945  | 21.592 | 22.066 | 22.749 |
| lnM                                     | 0.407  | 0.226  | 0.253  | 0.366  | 0.514  |
| Leverage                                | 0.445  | 0.224  | 0.264  | 0.455  | 0.621  |
| SOE                                     | 0.478  | 0.500  | 0.000  | 0.000  | 1.000  |

(a) Table 1: Summary statistics.

**Table 2**  
Policy sensitiveness measures.

Panel A of this table reports the average policy announcement measure across industries in ascending order. Panel B reports the fixed investment measure by province in ascending order. The detailed definitions of the policy announcement measure and the fixed investment measure are provided in [Appendix C](#).

**Panel A: Ranking industries by the policy announcement measure**

| Industry                | Policy announcement | Industry                | Policy announcement |
|-------------------------|---------------------|-------------------------|---------------------|
| Information Technology  | 0.338               | Pharmaceutical Products | 0.433               |
| Furniture               | 0.341               | Metal                   | 0.451               |
| Other Manufacturing     | 0.342               | Apparel                 | 0.452               |
| Communication & Culture | 0.374               | Agriculture             | 0.464               |
| Food                    | 0.377               | Retail & Wholesale      | 0.469               |
| Social Services         | 0.391               | Utilities               | 0.470               |
| Electronic              | 0.394               | Conglomerate            | 0.483               |
| Machinery               | 0.404               | Transportation          | 0.485               |
| Construction            | 0.414               | Mining                  | 0.514               |
| Gas and Chemistry       | 0.416               | Real Estate             | 0.583               |
| Printing                | 0.419               |                         |                     |

**Panel B: Ranking provinces by the fixed investment measure**

| Province  | Fixed investment | Province       | Fixed investment | Province     | Fixed investment |
|-----------|------------------|----------------|------------------|--------------|------------------|
| Shandong  | 0.142            | Hainan         | 0.285            | Shanghai     | 0.380            |
| Henan     | 0.164            | Guangxi        | 0.286            | Heilongjiang | 0.397            |
| Jiangsu   | 0.175            | Hubei          | 0.303            | Xinjiang     | 0.409            |
| Laoning   | 0.206            | Fujian         | 0.303            | Guizhou      | 0.432            |
| Hebei     | 0.207            | Hunan          | 0.324            | Shanxi       | 0.434            |
| Zhejiang  | 0.230            | Ningxia        | 0.337            | Yunnan       | 0.436            |
| Jiangxi   | 0.235            | Chongqing      | 0.349            | Shaanxi      | 0.447            |
| Anhui     | 0.241            | Sichuan        | 0.363            | Qinghai      | 0.471            |
| Guangdong | 0.257            | Inner Mongolia | 0.364            | Gansu        | 0.523            |
| Jilin     | 0.260            | Tianjin        | 0.371            | Tibet        | 0.720            |
| Beijing   | 0.265            |                |                  |              |                  |

(b) Table 2: Policy sensitiveness measures.

## 7.3 Tables 3–4: Market reaction and return regressions

**Read:**

- Table 3 shows that the most policy-sensitive firms suffer more negative CARs than the least sensitive firms.
- The all-three measure produces the largest and most significant spread.
- Table 4 shows that policy-sensitivity proxies remain negatively related to CARs after controlling for firm characteristics.
- Results hold using both market-model CAR1 and market-adjusted CAR2.

**Detailed interpretation:** These are the central price-impact tables. Table 3 gives the intuitive sorted-portfolio evidence; Table 4 confirms the same pattern in regressions. The consistent negative coefficients across multiple policy-sensitivity proxies show that the event was not simply a market-wide shock.

**Economic message:** Political uncertainty is priced cross-sectionally: firms more exposed to policy risk experience larger stock price declines.

**Table 3**

Univariate tests on market reaction.

The table presents the univariate tests on the market reaction to the Bo scandal. CAR1 (CAR2) is the cumulative abnormal returns over the three-day window around Bo scandal (March 14, 2012) calculated from the market model (the market-adjusted return), where the market return is value-weighted. In each panel, all firms in the sample are split into three groups by a proxy for policy sensitivity. In Panel A, the sorting variable is *Policy announcement*, which is the weighted-average ranking of the absolute returns over a three-day window around the announcement of the adjustment of the reserve requirement ratio during the period from 2007 to 2011, where the weight is the aggregate market absolute return over the event date. In Panel B, the sorting variable is *Fixed investment*, which is the average proportion of fixed investment from government-owned entities over the three-year period from 2009 to 2011 at the province level. In Panel C, the sorting variable is *Political connection*, which is the natural logarithm of one plus the number of directors on the board who have political connections. In Panel D, the sorting variable is *All three*, which is the sum of all three policy sensitivity measures above, standardized to have a mean of zero and a standard deviation of one. In the first three columns, the *t*-statistics based on the portfolio method are reported in parentheses. In the last column, the *t*-statistics are calculated based on robust standard errors clustered by industry and province separately. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

|                                      | 1 (Lowest)          | 2                    | 3 (Highest)           | 3 minus 1             |
|--------------------------------------|---------------------|----------------------|-----------------------|-----------------------|
| <i>Panel A: Policy announcement</i>  |                     |                      |                       |                       |
| CAR1 (%)                             | -0.624<br>(-0.811)  | -0.810<br>(-1.137)   | -1.380**<br>(-2.243)  | -0.756**<br>(-2.131)  |
| CAR2 (%)                             | -1.459<br>(-1.596)  | -1.607*<br>(-1.839)  | -2.184***<br>(-2.769) | -0.725**<br>(-2.105)  |
| <i>Panel B: Fixed investment</i>     |                     |                      |                       |                       |
| CAR1 (%)                             | -0.592<br>(-0.825)  | -0.965<br>(-1.397)   | -1.250*<br>(-1.905)   | -0.658***<br>(-3.057) |
| CAR2 (%)                             | -1.497*<br>(-1.688) | -1.693**<br>(-1.994) | -2.048**<br>(-2.514)  | -0.551**<br>(-2.219)  |
| <i>Panel C: Political connection</i> |                     |                      |                       |                       |
| CAR1 (%)                             | -0.845<br>(-1.131)  | -0.901<br>(-1.403)   | -1.219**<br>(-1.966)  | -0.374**<br>(-2.121)  |
| CAR2 (%)                             | -1.736*<br>(-1.902) | -1.661**<br>(-2.049) | -1.981**<br>(-2.572)  | -0.245<br>(-1.078)    |
| <i>Panel D: All three</i>            |                     |                      |                       |                       |
| CAR1 (%)                             | -0.432<br>(-0.523)  | -1.094*<br>(-1.670)  | -1.288**<br>(-2.140)  | -0.856***<br>(-3.681) |
| CAR2 (%)                             | -1.328<br>(-1.333)  | -1.864**<br>(-2.349) | -2.059***<br>(-2.630) | -0.730***<br>(-3.235) |

**(a)** Table 3: Univariate tests on market reaction.**Table 4**

Regression results of abnormal returns on policy sensitivity proxies.

This table reports the effect of policy sensitivity on cumulative abnormal returns (CAR) over the three-day window around the Bo scandal (March 14, 2012). In Panel A, the dependent variable is CAR1, which is derived from the market model based on the value-weighted market returns. In Panel B, the dependent variable is CAR2, which is derived from the market-adjusted model also based on the value-weighted market returns. LnSZ and B/M are the logarithm of a firm's market value and book-to-market ratio one week before the Bo scandal. *Leverage* is the ratio of total liabilities to total assets. *BHR* is the buy-and-hold stock return from two weeks to one week before the Bo scandal. *IVol* refers to idiosyncratic volatility obtained from the market model (Panel A) or the market-adjusted return (Panel B) used to estimate cumulative abnormal returns. Refer to Table 3 and Appendix C for the detailed definitions of *Policy announcement*, *Fixed investment*, *Political connection*, and *All three*. *N* is the number of observations. The *t*-statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

| <i>Panel A: CAR from the market model (CAR1)</i>            |                        |                        |                        |                        |
|-------------------------------------------------------------|------------------------|------------------------|------------------------|------------------------|
|                                                             | (1)                    | (2)                    | (3)                    | (4)                    |
| Policy announcement                                         | -1.064**<br>(-2.087)   |                        |                        |                        |
| Fixed investment                                            |                        | -2.956***<br>(-3.495)  |                        |                        |
| Political connection                                        |                        |                        | -0.331***<br>(-2.938)  |                        |
| All three                                                   |                        |                        |                        | -0.249***<br>(-5.061)  |
| LnSZ                                                        | 0.663***<br>(5.533)    | 0.667***<br>(5.440)    | 0.672***<br>(5.443)    | 0.699***<br>(5.861)    |
| B/M                                                         | -3.224***<br>(-5.530)  | -3.310***<br>(-5.397)  | -3.218***<br>(-5.321)  | -3.303***<br>(-5.284)  |
| Leverage                                                    | -2.053***<br>(-2.893)  | -2.330***<br>(-3.231)  | -2.367***<br>(-3.224)  | -2.028***<br>(-2.878)  |
| BHR                                                         | 0.122***<br>(3.367)    | 0.122***<br>(3.332)    | 0.121***<br>(3.222)    | 0.121***<br>(3.467)    |
| IVol                                                        | -1.335***<br>(-4.188)  | -1.332***<br>(-4.368)  | -1.352***<br>(-4.333)  | -1.372***<br>(-4.350)  |
| Intercept                                                   | -10.787***<br>(-3.547) | -10.359***<br>(-3.310) | -11.070***<br>(-3.581) | -11.952***<br>(-4.037) |
| <i>N</i>                                                    | 1862                   | 1862                   | 1862                   | 1862                   |
| Adjusted <i>R</i> <sup>2</sup>                              | 0.067                  | 0.066                  | 0.065                  | 0.071                  |
| <i>Panel B: CAR from the market-adjusted returns (CAR2)</i> |                        |                        |                        |                        |
|                                                             | (1)                    | (2)                    | (3)                    | (4)                    |
| Policy announcement                                         | -1.169**<br>(-2.184)   |                        |                        |                        |
| Fixed investment                                            |                        | -2.852***<br>(-5.198)  |                        |                        |
| Political connection                                        |                        |                        | -0.267**<br>(-2.353)   |                        |
| All three                                                   |                        |                        |                        | -0.244***<br>(-5.195)  |
| LnSZ                                                        | 0.895***<br>(6.675)    | 0.897***<br>(6.514)    | 0.899***<br>(6.524)    | 0.930***<br>(7.060)    |
| B/M                                                         | -3.059***<br>(-3.881)  | -3.134***<br>(-3.836)  | -3.034***<br>(-3.733)  | -3.118***<br>(-3.789)  |
| Leverage                                                    | -2.149***<br>(-3.804)  | -2.446***<br>(-4.167)  | -2.486***<br>(-4.125)  | -2.151***<br>(-3.816)  |
| BHR                                                         | 0.086**<br>(2.154)     | 0.085**<br>(2.115)     | 0.084**<br>(2.071)     | 0.084**<br>(2.197)     |
| IVol                                                        | -1.693***<br>(-5.587)  | -1.680***<br>(-5.594)  | -1.692***<br>(-5.579)  | -1.714***<br>(-5.593)  |
| Intercept                                                   | -15.858***<br>(-4.936) | -15.466***<br>(-4.614) | -16.130***<br>(-4.895) | -17.067***<br>(-5.522) |
| <i>N</i>                                                    | 1924                   | 1924                   | 1924                   | 1924                   |
| Adjusted <i>R</i> <sup>2</sup>                              | 0.082                  | 0.081                  | 0.079                  | 0.085                  |

documented the important differences between SOEs and private firms and no matter who is in power, these state-owned

**(b)** Table 4: CAR regressions.

## 7.4 Table 5: Ownership split between SOE and private firms

**Read:**

- Table 5 repeats return regressions separately for state-owned enterprises and private firms.
- Policy sensitivity is much stronger among private firms than among SOEs.
- The fixed-investment measure and all-three measure show particularly strong differences.

**Detailed interpretation:** The ownership split helps interpret the mechanism. SOEs may be partially insulated because they remain tied to the state regardless of which political faction dominates. Private firms, by contrast, face more uncertainty about policy support, regulation, and political access.

**Economic message:** Political uncertainty matters most when firms depend on the political environment but lack the protection of state ownership.

**Table 5**

Regression results of abnormal returns on policy sensitivity proxies split by ownership.

This table reports the effect of policy sensitiveness on cumulative abnormal returns (CAR) over the three-day window around the Bo scandal (March 14, 2012) for state-owned enterprises (SOEs) and private firms separately. The dependent variable is CAR1, which is derived from the market model based on the value-weighted market returns. Panel A reports results for SOEs, while Panel B presents results for private firms. SOEs are restricted to all those firms controlled by central government agencies or entities. Private firms are all non-SOEs. LnSZ and B/M are the logarithm of a firm's market value and book-to-market ratio one week before the Bo scandal. *Leverage* is the ratio of total liabilities to total assets. *BHR* is the buy-and-hold stock return from two weeks to one week before the Bo scandal. *Ivol* refers to idiosyncratic risk obtained from the market model used to estimate cumulative abnormal returns. Detailed definitions of these variables are provided in Appendix C. Refer to Table 3 and Appendix C for the detailed definitions of *Policy announcement*, *Fixed investment*, *Political connection*, and *All three*. The Wald test statistic is used to test for the equality of the regression coefficient on the corresponding policy sensitiveness in Panels A and B. N is the number of observations. The *t*-statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. The *t*-statistics are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

| <i>Panel A: SOE firms</i>                                      |                        |                       |                        |                        |
|----------------------------------------------------------------|------------------------|-----------------------|------------------------|------------------------|
|                                                                | (1)                    | (2)                   | (3)                    | (4)                    |
| Policy announcement                                            | -0.391<br>(-0.448)     |                       |                        |                        |
| Fixed investment                                               |                        | 1.411<br>(0.607)      |                        |                        |
| Political connection                                           |                        |                       | -0.168<br>(-0.405)     |                        |
| All three                                                      |                        |                       |                        | -0.039<br>(-0.264)     |
| LnSZ                                                           | 0.363**<br>(2.450)     | 0.367**<br>(2.286)    | 0.377**<br>(2.362)     | 0.366***<br>(2.667)    |
| B/M                                                            | -2.230***<br>(-3.509)  | -2.235***<br>(-3.234) | -2.196***<br>(-3.473)  | -2.212***<br>(-3.254)  |
| Leverage                                                       | -0.991<br>(-1.121)     | -1.045<br>(-1.193)    | -1.073<br>(-1.197)     | -1.028<br>(-1.160)     |
| BHR                                                            | 0.071<br>(1.221)       | 0.068<br>(1.110)      | 0.070<br>(1.172)       | 0.071<br>(1.160)       |
| Ivol                                                           | -1.039*<br>(-1.728)    | -1.037*<br>(-1.647)   | -1.061*<br>(-1.689)    | -1.044*<br>(-1.755)    |
| Intercept                                                      | -5.787<br>(-1.473)     | -6.460<br>(-1.455)    | -6.134<br>(-1.595)     | -6.011*<br>(-1.694)    |
| N                                                              | 256                    | 256                   | 256                    | 256                    |
| Adjusted R <sup>2</sup>                                        | 0.014                  | 0.014                 | 0.014                  | 0.014                  |
| <i>Panel B: Non-SOE (private firms)</i>                        |                        |                       |                        |                        |
|                                                                | (1)                    | (2)                   | (3)                    | (4)                    |
| Policy announcement                                            | -1.095*<br>(-1.713)    |                       |                        |                        |
| Fixed investment                                               |                        | -4.300***<br>(-3.936) |                        |                        |
| Political connection                                           |                        |                       | -0.399***<br>(-2.644)  |                        |
| All three                                                      |                        |                       |                        | -0.309***<br>(-6.864)  |
| LnSZ                                                           | 0.679***<br>(5.187)    | 0.689***<br>(5.073)   | 0.704***<br>(5.178)    | 0.712***<br>(5.090)    |
| B/M                                                            | -3.683***<br>(-7.635)  | -3.949***<br>(-6.612) | -3.752***<br>(-7.111)  | -3.969***<br>(-6.166)  |
| Leverage                                                       | -2.393**<br>(-2.497)   | -2.793***<br>(-2.824) | -2.746***<br>(-2.664)  | -2.317**<br>(-2.431)   |
| BHR                                                            | 0.098**<br>(2.462)     | 0.092**<br>(2.467)    | 0.097**<br>(2.480)     | 0.093**<br>(2.446)     |
| Ivol                                                           | -1.578***<br>(-5.836)  | -1.614***<br>(-6.050) | -1.632***<br>(-5.880)  | -1.642***<br>(-5.775)  |
| Intercept                                                      | -10.252***<br>(-3.001) | -9.558***<br>(-2.602) | -10.845***<br>(-3.029) | -11.462***<br>(-3.139) |
| N                                                              | 972                    | 972                   | 972                    | 972                    |
| Adjusted R <sup>2</sup>                                        | 0.062                  | 0.066                 | 0.063                  | 0.071                  |
| Test for equal slope on policy sensitiveness in Panels A and B |                        |                       |                        |                        |
| The Wald test statistic                                        | 0.52                   | 12.34***              | 0.52                   | 3.03*                  |

Table 5: Regression results split by ownership.

## 7.5 Tables 6–7: Expected cash-flow tests

Read:

| Panel B: Dependent variable = <i>Schwarz SPB_2002</i> |          |          |          |          |
|-------------------------------------------------------|----------|----------|----------|----------|
|                                                       | (1)      | (2)      | (3)      | (4)      |
| Intercept                                             | 0.948    | 0.947    | 0.938    | 0.933    |
| ROA                                                   | 0.020    | 0.020    | 0.020    | 0.021    |
| ROE                                                   | 0.020    | 0.020    | 0.020    | 0.021    |
| ROA <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROE <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROA × ROE                                             | -0.001   | -0.001   | -0.001   | -0.001   |
| Adjusted R <sup>2</sup>                               | 0.54     | 0.54     | 0.54     | 0.54     |
| N                                                     | 6,709    | 6,709    | 6,709    | 6,709    |
| Panel C: Dependent variable = <i>Schwarz SPB_2004</i> |          |          |          |          |
|                                                       | (1)      | (2)      | (3)      | (4)      |
| Public intervention                                   | 0.000    |          |          |          |
| Fixed effects                                         | 0.000    | 1.070**  |          |          |
|                                                       |          | [2.449]  |          |          |
| Intercept                                             |          |          | -0.002   | 0.004    |
|                                                       |          |          | (-0.447) | (1.471)  |
| SPB_2004                                              | -0.000*  | -0.000** | -0.039*  | -0.040*  |
|                                                       | (-0.01)  | (-0.01)  | (-1.996) | (-2.048) |
| ROA                                                   | 0.004    | 0.003    | 0.018    | 0.020    |
| ROE                                                   | 0.004    | 0.003    | 0.018    | 0.020    |
| ROA <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROE <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROA × ROE                                             | -0.001   | -0.001   | -0.001   | -0.001   |
| Adjusted R <sup>2</sup>                               | 0.780    | 0.780    | 0.824    | 0.841    |
| Leakage                                               | -1.000   | -1.000   | -1.000   | -1.000   |
|                                                       | (-1.000) | (-1.000) | (-1.000) | (-1.000) |
| Intercept                                             |          |          | -1.000   | -1.000   |
|                                                       |          |          | (-1.000) | (-1.000) |
| ROA                                                   | 0.020    | 0.020    | 0.020    | 0.020    |
| ROE                                                   | 0.020    | 0.020    | 0.020    | 0.020    |
| ROA <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROE <sup>2</sup>                                      | -0.001   | -0.001   | -0.001   | -0.001   |
| ROA × ROE                                             | 0.000    | 0.000*** | 0.007*   | 0.007*   |
| Intercept                                             |          |          | 1.837    | 1.837    |
|                                                       |          |          | (1.837)  | (1.837)  |
| Adjusted R <sup>2</sup>                               | 1.000    | 1.000    | 1.000    | 1.000    |
| N                                                     | 181      | 181      | 181      | 181      |
| Adjusted R <sup>2</sup>                               | 0.024    | 0.032    | 0.020    | 0.027    |

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**Table 8**  
Robust cash flow regression analysis.

This table reports the effect of policy announcements on the future accounting performance of firms. In Panels A, B, and C, the dependent variable are the changes in earnings divided by total assets (ΔEVA), operating profits divided by total assets (ΔOPRO), and sales divided by total assets (ΔSMA), from fiscal 2011 to fiscal 2012, respectively. LSIZE and B/M are the logarithm of a firm's market value and book-to-market ratio one week before the Bo scandal, respectively. It is the ratio of total liabilities to total assets. The detailed definitions of these variables are provided in Appendix C. Note: In (1)–(4) and Appendix C for the detailed definitions of Policy announcement, Fixed investment, Political connection, and All three. N is the number of observations. The t-statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China at the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

**Panel A: Dependent variable = ΔEVA**

|                         | (1)                 | (2)                  | (3)                  | (4)                 |
|-------------------------|---------------------|----------------------|----------------------|---------------------|
| Policy announcement     | -0.186<br>(-0.880)  |                      |                      |                     |
| Fixed investment        |                     | 1.852<br>(1.440)     |                      |                     |
| Political connection    |                     |                      | -0.820**<br>(2.287)  |                     |
| All three               |                     |                      |                      | 0.125*<br>(2.268)   |
| LSIZE                   | -0.148*<br>(-2.588) | -0.261**<br>(-2.332) | -0.285**<br>(-2.376) | -0.277*<br>(-2.227) |
| B/M                     | -0.198<br>(-0.822)  | -0.148<br>(-0.784)   | -0.059<br>(-0.916)   | -0.184<br>(-0.933)  |
| Leverage                | 2.539**<br>(3.198)  | 2.701**<br>(3.176)   | 2.762**<br>(3.435)   | 2.552**<br>(3.246)  |
| Intercept               | 10.148*<br>(1.813)  | 10.908*<br>(1.782)   | 10.752*<br>(1.940)   | 10.771*<br>(1.885)  |
| N                       | 1862                | 1862                 | 1862                 | 1862                |
| Adjusted R <sup>2</sup> | 0.020               | 0.031                | 0.023                | 0.032               |

**Panel B: Dependent variable = ΔOPRO**

|                         | (1)                  | (2)                  | (3)                   | (4)                  |
|-------------------------|----------------------|----------------------|-----------------------|----------------------|
| Policy announcement     | -0.288<br>(-0.785)   |                      |                       |                      |
| Fixed investment        |                      | 2.005*<br>(1.712)    |                       |                      |
| Political connection    |                      |                      | 0.370*<br>(1.680)     |                      |
| All three               |                      |                      |                       | 0.112**<br>(2.277)   |
| LSIZE                   | -0.083**<br>(-2.541) | -0.099**<br>(-2.502) | -0.111***<br>(-2.750) | -0.109**<br>(-2.395) |
| B/M                     | -0.196<br>(-1.390)   | -0.180<br>(-1.247)   | -0.180<br>(-1.301)    | -0.162<br>(-1.314)   |
| Leverage                | 2.342**<br>(4.170)   | 2.287**<br>(4.091)   | 2.290**<br>(4.171)    | 2.285**<br>(4.171)   |
| Intercept               | 13.489**<br>(2.091)  | 12.076**<br>(2.015)  | 11.659**<br>(2.007)   | 11.659**<br>(2.007)  |
| N                       | 1862                 | 1862                 | 1862                  | 1862                 |
| Adjusted R <sup>2</sup> | 0.020                | 0.019                | 0.019                 | 0.019                |

(continued on next page)

(a) Table 8, part 1.

**Table 8 (continued)**

**Panel C: Dependent variable = ΔSMA**

|                         | (1)                  | (2)                  | (3)                  | (4)                  |
|-------------------------|----------------------|----------------------|----------------------|----------------------|
| Policy announcement     | 1.413<br>(1.138)     |                      |                      |                      |
| Fixed investment        |                      | 7.080**<br>(2.223)   |                      |                      |
| Political connection    |                      |                      | 0.038<br>(0.880)     |                      |
| All three               |                      |                      |                      | 0.425**<br>(2.160)   |
| LSIZE                   | -0.008<br>(-0.105)   | -0.093<br>(-1.315)   | -0.096<br>(-1.240)   | -0.122<br>(-1.337)   |
| B/M                     | 1.162<br>(1.185)     | 1.185<br>(1.185)     | 1.187<br>(1.187)     | 1.186<br>(1.186)     |
| Leverage                | 0.111<br>(0.846)     | 0.111<br>(0.846)     | 0.111<br>(0.846)     | 0.111<br>(0.846)     |
| Intercept               | -4.284**<br>(-2.005) | -3.881**<br>(-2.015) | -3.881**<br>(-2.015) | -4.141**<br>(-2.045) |
| N                       | 1862                 | 1862                 | 1862                 | 1862                 |
| Adjusted R <sup>2</sup> | 0.003                | 0.002                | 0.002                | 0.003                |

(b) Table 8, part 2.

**Table 9**  
Univariate tests on the changes in volatility around the Bo scandal.

This table presents the calculation tests on the changes in daily stock return volatility (ΔVol) from before to after the Bo scandal in percentage. The post-event period is defined as March 17–April 10, 2012 and the pre-event period is defined as March 17–April 16 in 2010 and 2011. In each panel, all firms in the sample are split into three groups by a proxy for policy announcements. In Panel A, the testing variable is Policy announcement. In Panel B, the testing variable is Fixed investment. In Panel C, the testing variable is Political connection. In Panel D, the testing variable is All three. LSIZE, B/M, and Leverage are the detailed definitions of Policy announcement, Fixed investment, Political connection, and All three. N is the number of observations. The t-statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China at the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

|                                      | 1 (Lowest) | 2     | 3 (Highest) | Difference | t-stat  |
|--------------------------------------|------------|-------|-------------|------------|---------|
| <b>Panel A: Policy announcement</b>  |            |       |             |            |         |
| ΔVol                                 | 0.209      | 0.260 | 0.306       | 0.037      | (0.627) |
| <b>Panel B: Fixed investment</b>     |            |       |             |            |         |
| ΔVol                                 | 0.220      | 0.254 | 0.303       | 0.185**    | (2.054) |
| <b>Panel C: Political connection</b> |            |       |             |            |         |
| ΔVol                                 | 0.209      | 0.273 | 0.288       | 0.069      | (0.687) |
| <b>Panel D: All three</b>            |            |       |             |            |         |
| ΔVol                                 | 0.243      | 0.272 | 0.320       | 0.087*     | (1.850) |

(c) Table 9: Volatility univariate tests.

## 7.7 Tables 10–11: Volatility regressions and Bo-connected firms

### Read:

- Table 10 shows that policy sensitivity predicts larger increases in volatility after firm controls.
- The fixed-investment and all-three measures are especially strong.
- Table 11 adds a Bo-connectedness dummy and shows that the return and volatility results remain.
- Bo-connected firms lose value, but the broad policy-sensitivity coefficients are not explained away.

**Detailed interpretation:** Table 10 is the regression analog of Table 9. Table 11 is a key robustness check because one might think the result is only about firms directly tied to Bo Xilai. The persistence of the policy-sensitivity coefficients shows that the event changed the value of broad policy exposure.

**Economic message:** The shock was not just a relationship shock for Bo-linked firms. It was a broad political-risk shock priced across policy-sensitive firms.

**Table 10**  
Regression results of volatility changes on policy sensitivity proxies.  
This table reports the effect of policy sensitiveness on the change in daily stock return volatility from before to after the Bo scandal in percentage ( $\Delta Vol$ ). The post-event period is defined as March 17 – April, 2012 and the pre-event period is defined as March 17 – April 16 in 2010 and 2011.  $LnSZ$  and  $B/M$  are the logarithm of a firm's market value and book-to-market ratio one week before the Bo scandal.  $Leverage$  is the ratio of total liabilities to total assets.  $AbsBHR$  is the absolute value of the buy-and-hold stock return from two weeks to one week before the Bo event.  $Beta$  is market beta and  $Ivol$  refers to idiosyncratic risk obtained from the market model used to estimate cumulative abnormal returns. The detailed definitions of these variables are provided in Appendix C. Refer to Table 3 and Appendix C for the detailed definitions of Policy announcement, Fixed investment, Political connection, and All three.  $N$  is the number of observations. The  $t$ -statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

|                      | (1)                   | (2)                   | (3)                   | (4)                   |
|----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Policy announcement  | 0.119*<br>(1.668)     |                       |                       |                       |
| Fixed investment     |                       | 0.536**<br>(2.011)    |                       |                       |
| Political connection |                       |                       | 0.031<br>(0.978)      |                       |
| All three            |                       |                       |                       | 0.035***<br>(3.030)   |
| $LnSZ$               | -0.126***<br>(-5.052) | -0.126***<br>(-5.005) | -0.127***<br>(-5.369) | -0.131***<br>(-5.863) |
| $B/M$                | 0.038<br>(0.262)      | 0.052<br>(0.381)      | 0.037<br>(0.265)      | 0.049<br>(0.353)      |
| $Leverage$           | 0.245*<br>(1.938)     | 0.271**<br>(1.987)    | 0.281**<br>(2.066)    | 0.232*<br>(1.723)     |
| $AbsBHR$             | 3.438***<br>(5.082)   | 3.445***<br>(5.052)   | 3.464***<br>(5.018)   | 3.485***<br>(5.114)   |
| $Beta$               | 0.169***<br>(4.240)   | 0.172***<br>(4.554)   | 0.176***<br>(4.333)   | 0.164***<br>(4.266)   |
| $Ivol$               | 0.075<br>(1.634)      | 0.074<br>(1.624)      | 0.081*<br>(1.671)     | 0.075<br>(1.621)      |
| Intercept            | 2.471***<br>(4.591)   | 2.378***<br>(4.137)   | 2.489***<br>(4.500)   | 2.637***<br>(4.776)   |
| $N$                  | 1862                  | 1862                  | 1862                  | 1862                  |
| Adjusted $R^2$       | 0.051                 | 0.052                 | 0.050                 | 0.055                 |

(a) Table 10: Volatility regressions.

**Table 11**  
Regression results of cumulative abnormal returns and volatility changes on policy sensitivity proxies: Bo-connected firms.  
This table reports the effect of policy sensitiveness on cumulative stock returns ( $CAR1$ ) and changes in volatility around the Bo scandal.  $CAR1$  is derived from the market model based on the value-weighted market returns. The change in volatility ( $\Delta Vol$ ) is the calculated volatility in one month starting from March 17, 2012 minus the volatility estimated from the same calendar time window in the previous two years (i.e., March 17–April 16 in 2010 and 2011). Panel A reports the  $CAR$  regression results, while Panel B displays the volatility regression results.  $Bo-connectedness$  is a dummy variable that is equal to one if one or more directors of a firm have working experience in government agencies in Chongqing.  $LnSZ$  and  $B/M$  are the logarithm of a firm's market value and book-to-market ratio one week before the Bo scandal.  $Leverage$  is the ratio of total liabilities to total assets.  $AbsBHR$  is the absolute value of the buy-and-hold stock return from two weeks to one week before the Bo event.  $Beta$  is market beta and  $Ivol$  refers to idiosyncratic risk obtained from the market model used to estimate cumulative abnormal returns. The detailed definitions of these variables are provided in Appendix C. Refer to Table 3 and Appendix C for the detailed definitions of Policy announcement, Fixed investment, Political connection, and All three.  $N$  is the number of observations. The  $t$ -statistics calculated based on robust standard errors clustered by industry and province separately are reported in parentheses. Our sample includes all nonfinancial firms listed for at least one year and publicly traded in the A-share market in mainland China as of the end of 2011. \*\*\*, \*\*, and \* represent statistical significance at the 1%, 5%, and 10% levels, respectively.

| Panel A: CAR regression results                      |                        |                        |                        |                        |
|------------------------------------------------------|------------------------|------------------------|------------------------|------------------------|
|                                                      | (1)                    | (2)                    | (3)                    | (4)                    |
| Policy announcement                                  | -1.082**<br>(-2.119)   |                        |                        |                        |
| Fixed investment                                     |                        | -2.866***<br>(-3.340)  |                        |                        |
| Political connection                                 |                        |                        | -0.294***<br>(-2.745)  |                        |
| All three                                            |                        |                        |                        | -0.241***<br>(-4.191)  |
| $Bo-connectedness$                                   | -1.744***<br>(-3.574)  | -1.502***<br>(-3.387)  | -1.496***<br>(-3.568)  | -1.370***<br>(-3.105)  |
| $LnSZ$                                               | 0.667***<br>(5.608)    | 0.670***<br>(5.494)    | 0.673***<br>(5.465)    | 0.625***<br>(5.212)    |
| $B/M$                                                | -3.224***<br>(-5.505)  | -3.307***<br>(-5.383)  | -3.218***<br>(-5.318)  | -3.232***<br>(-5.700)  |
| $Leverage$                                           | -2.029***<br>(-2.874)  | -2.315***<br>(-3.210)  | -2.354***<br>(-3.210)  | -2.080***<br>(-2.895)  |
| $BHR$                                                | 0.121***<br>(3.119)    | 0.120***<br>(3.283)    | 0.119***<br>(3.178)    | 0.126***<br>(3.638)    |
| $Ivol$                                               | -1.338***<br>(-4.204)  | -1.335***<br>(-4.381)  | -1.352***<br>(-4.316)  | -1.360***<br>(-4.284)  |
| Intercept                                            | -10.836***<br>(-3.571) | -10.422***<br>(-3.333) | -11.094***<br>(-3.587) | -10.318***<br>(-3.350) |
| $N$                                                  | 1862                   | 1862                   | 1862                   | 1862                   |
| Adjusted $R^2$                                       | 0.068                  | 0.067                  | 0.065                  | 0.075                  |
| Panel B: Regression results of changes in volatility |                        |                        |                        |                        |
|                                                      | (1)                    | (2)                    | (3)                    | (4)                    |
| Policy announcement                                  | 0.119*<br>(1.686)      |                        |                        |                        |
| Fixed investment                                     |                        | 0.537**<br>(1.977)     |                        |                        |
| Political connection                                 |                        |                        | 0.032<br>(0.943)       |                        |
| All three                                            |                        |                        |                        | 0.035***<br>(2.910)    |
| $Bo-connectedness$                                   | 0.016<br>(0.086)       | -0.014<br>(-0.075)     | -0.011<br>(-0.057)     | -0.033<br>(-0.177)     |
| $LnSZ$                                               | -0.126***<br>(-5.052)  | -0.126***<br>(-5.005)  | -0.127***<br>(-5.369)  | -0.131***<br>(-5.863)  |
| $B/M$                                                | 0.038<br>(0.262)       | 0.052<br>(0.381)       | 0.037<br>(0.265)       | 0.049<br>(0.353)       |
| $Leverage$                                           | 0.245*<br>(1.938)      | 0.271**<br>(1.987)     | 0.281**<br>(2.066)     | 0.232*<br>(1.723)      |
| $AbsBHR$                                             | 3.438***<br>(5.082)    | 3.445***<br>(5.052)    | 3.464***<br>(5.018)    | 3.485***<br>(5.114)    |
| $Beta$                                               | 0.169***<br>(4.240)    | 0.172***<br>(4.554)    | 0.176***<br>(4.333)    | 0.164***<br>(4.266)    |
| $Ivol$                                               | 0.075<br>(1.634)       | 0.074<br>(1.624)       | 0.081*<br>(1.671)      | 0.075<br>(1.621)       |
| Intercept                                            | 2.471***<br>(4.591)    | 2.378***<br>(4.137)    | 2.489***<br>(4.500)    | 2.637***<br>(4.776)    |
| $N$                                                  | 1862                   | 1862                   | 1862                   | 1862                   |
| Adjusted $R^2$                                       | 0.051                  | 0.052                  | 0.050                  | 0.055                  |

(b) Table 11: Bo-connected firms.

## 8 Detailed result map

- **Event salience:** Google and Baidu searches confirm major public attention to the Bo scandal.
- **Return effect:** More policy-sensitive firms have more negative CARs in univariate and regression tests.
- **Ownership heterogeneity:** The effect is stronger among private firms than among SOEs.
- **Expected cash flows:** Analyst EPS forecasts do not fall more for policy-sensitive firms.
- **Realized cash flows:** Accounting performance does not deteriorate more for sensitive firms.
- **Volatility:** Politically sensitive firms experience larger increases in volatility.
- **Bo-connectedness:** The main results survive controlling for firms directly connected to Bo Xilai.

## 9 Short summary

- The paper studies the Bo Xilai scandal as an unexpected political uncertainty shock in China.
- Firms are sorted by three policy-sensitivity measures: monetary-policy exposure, state-investment exposure, and political connections.
- Policy-sensitive firms suffer significantly larger negative abnormal returns around the scandal.
- This effect remains after controlling for size, book-to-market, leverage, prior returns, and risk.
- Private firms are more affected than SOEs.

- Analyst forecasts and realized accounting outcomes do not decline more for sensitive firms.
- Volatility rises more for sensitive firms.
- The results support a discount-rate/political-risk interpretation rather than a cash-flow-news interpretation.

## 10 Conclusion

### 10.1 Core conclusion

Liu, Shu, and Wei show that a sudden increase in political uncertainty lowers stock prices, especially for firms that are more sensitive to government policy. The effect is cross-sectional and economically meaningful.

### 10.2 Economic intuition

Political uncertainty affects asset prices because it changes the risk investors associate with future policy. Firms that rely more on monetary policy, state investment, or political connections have more exposed cash-flow and discount-rate channels. The market prices this exposure immediately when political uncertainty spikes.

### 10.3 Incremental contribution revisited

The paper contributes by using a clean unexpected political scandal, constructing multiple firm-level policy-sensitivity measures, and testing the mechanism with returns, forecast revisions, realized accounting outcomes, volatility, and Bo-connectedness controls. This allows it to distinguish broad priced political risk from direct relationship losses or cash-flow news.

### 10.4 Implications

The evidence implies that political stability is an asset-pricing fundamental in state-influenced markets. It also suggests that investors should distinguish between direct political connections and broader policy exposure. Policy-sensitive firms may carry political-risk premia even when their near-term cash flows do not change.

### 10.5 Limitations

The event is China-specific and involves an unusually salient elite political scandal. Policy sensitivity measures are proxies and may not capture all political exposure. Analyst forecasts and accounting measures may miss some longer-run cash-flow effects. Still, the consistency across returns, volatility, ownership, and robustness tests makes the discount-rate interpretation persuasive.

### 10.6 Takeaway

The main takeaway is that political uncertainty is priced, and its impact is strongest where firm value depends most on government policy. The Bo scandal reveals the cross-sectional price of political risk in China's stock market.